

1. Transaction Overview

Meridian ABS Funding 2024-1 is a securitization of small-ticket commercial equipment loans originated by Meridian Capital Partners Ltd. The transaction closed on 12 March 2024 with an initial pool balance of USD 412.5 million across 3,847 loan contracts.

The notes were issued in four classes. The Class A notes carry a fixed coupon of 5.85 percent per annum. The Class B notes pay one-month SOFR plus 240 basis points, and the Class C notes pay one-month SOFR plus 410 basis points. Interest is payable monthly in arrears on the 20th.

2. Pool Composition

As of the June 2026 determination date, the outstanding pool balance was USD 264.8 million across 2,691 active contracts, representing a pool factor of 0.642. The weighted average remaining term is 31.4 months and the weighted average contract yield is 9.42 percent.

Construction equipment represents 28.3 percent of the balance, transportation 24.1 percent, medical equipment 19.6 percent, and manufacturing machinery 15.7 percent.

3. Delinquency Performance

Contracts 31 to 60 days past due rose to 2.31 percent of the pool balance, compared with 1.94 percent in the prior quarter. Contracts more than 90 days past due, classified as defaulted, reached 1.12 percent. The cumulative net loss ratio since closing is 1.87 percent of the initial pool balance, below the base-case expectation of 2.60 percent.

Class	Balance (USD)	Coupon	Rating
A	198,400,000	5.85% fixed	AAA
B	34,200,000	SOFR+240	AA
C	22,100,000	SOFR+410	A
Equity	20,000,000	residual	NR

4. Credit Enhancement and Triggers

The delinquency trigger is breached if the three-month rolling average of contracts more than 60 days past due exceeds 4.00 percent of the pool balance. As of June the rolling average was 1.93 percent and the trigger remains in compliance. A breach converts the waterfall from pro-rata to fully sequential and suspends excess spread release to the equity tranche.

5. Servicer Commentary

Collections operations were affected in April by migration of the servicing platform to a new loan management system, which caused a two-week delay in posting approximately 6 percent of obligor payments and temporarily inflated April delinquency figures. All payments were reconciled by 15 May. The June delinquency figures are unaffected by the migration issue.

The interest rate cap counterparty, Northgate Derivatives LLC, is required to maintain a minimum rating of A3 and currently satisfies that requirement.